

The idea of a “true value” has always struck me as nebulous at best and mystical at worse. Graham and Dodd themselves appeared conflicted on the matter, explaining that intrinsic value “is that value, which is justified by the facts, *e.g.*, the assets, earnings, dividends, and definite prospects, as distinct, let us say, from market quotations established by market manipulation or distorted by psychological excesses.” (Chap. 1) But they also warned that “it must always be remembered that the truth that the analyst uncovers is first of all not the whole truth and, secondly, not the immutable truth.” (Chap. 31) Elsewhere they admit that “intrinsic value is an elusive concept” but can be approximated, just like “it is quite possible to decide by inspection that a woman is old enough to vote without knowing her age or that a man is heavier than he should be without knowing his weight.” I don’t know about you, but I’ve had a tough time estimating women’s ages since my Beverly Hills orthodontist diversified into Botox, and I most definitely wouldn’t pass judgment on a man’s weight, at least not to his face. I believe deeply that “security analysis cannot presume to lay down general rules as to the ‘proper value’ of any given common stock. Practically speaking, there is no such thing.” (Chap. 39)

My former employer, where I invested for 20 years as a portfolio manager, was a multi-asset class manager, a value-oriented and event-driven hedge fund. However, of all the partners’ portfolios, mine was consistently the lightest in public equities, rarely having any exposure at all. Plainly, I am not a stock picker; blame it on my upbringing. If you described me as a Bond girl, I bet no one would bat an eye.

My supreme luck, however, was to discover that in a corner of the corporate bond market, distressed investing, lay the extraordinary opportunity to fuse both schools of thought to form a glorious *ménage à trois*—building a career along the way. Stressed and distressed investing entails buying the bonds or the loans of a company under severe operational or financial duress, either within bankruptcy or on